

Service Level Management

Walkaround Deck & Planning Guide

October 2022

Service Definition

Wikipedia:

"Service Design is the activity of planning and organizing people, infrastructure, communication and material components of a service, in order to improve its quality, the interaction between service provider and customers and the customer's experience

- servicedesign.org

"Design for experiences that reach people through many different touch-points, and that happen over time.

What are Services?

- "Activities or events that form a service product through an interaction between the customer, any mediating technology, and representatives of the service organization.
- Performances
 - choreographed interactions manufactured at the point of delivery and designed to meet people's expectations
- Processes
 - that that people see and experience and where they co-produce value, utility, satisfaction, and delight."

Services We Love...

- are consistent, resilient, and available
 - are easy to find, easy to access, and easy to consume
 - meet our functional & emotional needs
 - provide us with the right information, at the right time in the right way, with the right quality & right protection
- *
- allow us to recover and resume when interruptions occur

*** 5 Rights for Outcome Driven Delivery**

Customer First

"Twenty years ago, when asked what people looked for when making purchases, the most common response was 'quality of product. In 2004 the most common answer was 'honesty'.

- Delivering a great product isn't enough..
 - Service and support are a big deal
 - (Comcast fail)
 - A great experience can seriously outshine
 - an ugly interface (Zappos win)
- You certainly can't sell a crappy product and run.

Outcome Driven Design & Delivery

- **This is a shift...**
- It's seriously customer-centered
 - ✓ Customer-centered philosophy: When you create great experiences, conversions long term, loyal, multi-purchase conversions - will follow.
 - ✗ Business-centered philosophy: Figure out how to design this thing to make the most people convert without pissing them off
- **Caution**
 - Avoid the temptation to provide service for the lowest cost and maximum profit. This can eat away at the fundamental purpose of service: to provide support and to help people live their lives to their full potential.

Communities of Practice

Communities rule!

- The first stop for a purchase is often a review site
- Authority and credibility often rests with user communities
- People identify with a product based on who else has it
- Many products are only as good as they are extended

Service Owners frequently use these words...

Choreograph, Collaborate, Communicate, Co-Create, Coordinate

The Service Economy starts within EACH Organization

- Services constitute about 70% of most industrialized nations' GDP
- In the US, private sector alone accounts for nearly 70% of our GDP. Add public sector, and it's closer to 80%
 - "Services produced by private industry accounted for 67.8 percent of U.S. gross domestic product back in 2006."
 - => US Department of State
- That's a huge shift in thinking and planning...

Accelerating Shift to Services

- With the digitalization of our economy and artificial ecosystems, new services are being introduced faster and in many cases at increasingly smaller sizes with greater precision.
- Think IoT, I4.0 (Industry), Digital Twins, Smart Cities, Digital Ecosystems.
- The pace of change and complexity is accelerating. The timeline to build and implement large systems is being displaced by smaller components and services that are interoperable and self-sustaining.

And Yet

- *...the shift to a service economy has not necessarily heralded a service revolution. Many of our interactions with organizations are characterized by profound frustration..*
- *Too often it feels like 'producer interests' or profit incentives matter more than how we feel.*



Enter Service Design

Service Design

- **Is it new ?**

- ☐ Yes and no

- **What's Not new?**

- ☐ Design thinking
- ☐ User-centered design
- ☐ Management consulting
- ☐ Queue management design
- ☐ Customer service training
- ☐ Merchandising

- **What's New?**

- ☐ Addressing an overall experience problem with user-centered design thinking
- ☐ instead of business thinking

What's involved in Service Design?

- **People**

- all the people directly or indirectly involved in the service delivery, from employees, and partners to other customers

- **Product**

- artifacts that facilitate interaction between the customer, any mediating technology, and representatives of the service organization (often referred to as service evidence)

- **Place**

- the settings for the service delivery-either physical or virtual, synchronous or asynchronous

- **Process**

- procedure, mechanisms, and flow of activities by which the services are experienced over time

- **Performance**

- transformation and interaction among people and machines (associated with both the customers and the firm) to achieve synergy in value creation and perception of quality (after Lovelock and Wright)"

Defining a Service

● Service Framework

- Customer First (DT)
- Inputs – Process – Outputs
- Lifecycle Management & Operations Management
- Monitor – Measure – Manage (SLAs)
- Processes may be supported by automation (systems, services, or tools)

● Service Ecosystem

- Mini-Supply Chain
- Fits within one or more Value Chains
- "Your Service is part of a larger Community of Services"

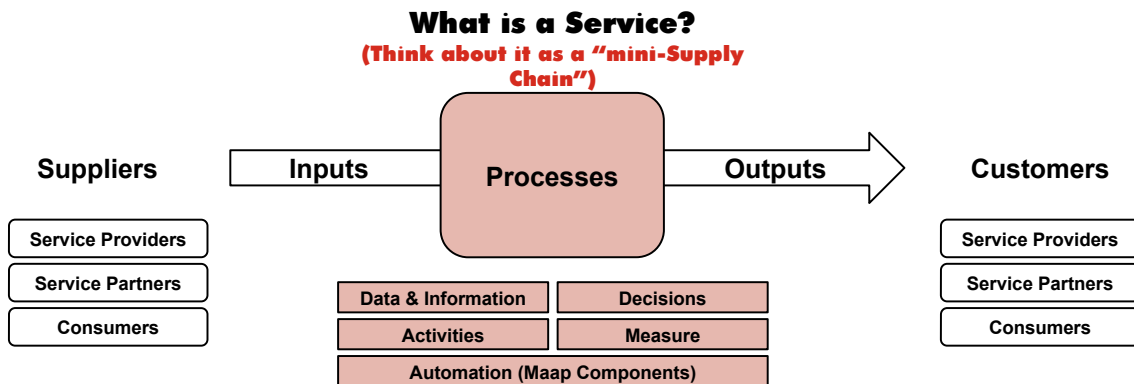
● Service Relationships

- Partners
- Providers
- Consumers

● Service Territory map

- Boundaries and Interfaces to
 - Process Integration – handoffs to other Service Owners
 - Data Integration – between Systems and/or Tools

Service Design: "Mini-Supply Chain"



A Service (Business, Functional, Technical):

- Capabilities are enabled by one or more services
- Each service is designed as a "mini-supply chain" (SIPOCR - see examples below)
- Service Level Management is designed to ensure operational effectiveness
- Simplify accountability (Service Matrix is consistent versus RACI Models which always change)
- Measures quality, productivity, and service excellence (what gets measured Right gets done Right)
- Service is a business model (revenue, cost control, measurement, supplier and customer management)
- Service owners are responsible for delivering desired outcomes for customers, compliance, & corporate

When we "connect-the-dots" between Service Owners we can create Value Streams ("legos" of Reusable Component Services)

This allows us to quickly bootstrap (new) Value-Added Services like Data Onboarding

A few examples of Service Handoffs between Service Owners (manual & automated)

Supplier (Provider)	Input	Service Owner	Process (Service - L2 & L3)	Output	Customer (Consumer)
Consumers Compliance Corporate	Jobs + Desired Outcomes	Product Management	Design Thinking (Outcome Discovery)	Personas & Job Study	Data Architecture Data Engineering Data Governance
Catalog Management	Updated Business Term Mapping to Policy Terms	Orchestration Services	Replicate Changes to VZ Data Catalog to GCP Data Catalog (ME > ATLAS > MDE)	CSV File (Column to Policy Term Mapping)	System Operations GCP (DGF) GCP (VCF)

Service Management

- **Support business needs**
- **Manage expectations**
- **Optimize resources allocation and utilization**
- **Keep costs under control**

" SLA's force the support service to orient itself to providing cost-effective service solutions to business needs and to support the business plan "

(Andrew Hiles)

SLAs Must...

- ✓ make it possible an immediate association to the client business and to the satisfaction of its users
- ✓ be formulated in such a way that permanently encourage the best cost/benefit ratio on service provision
- ✓ be continually reevaluated to reflect the dynamic objectives and priorities of the client business needs

Service Design Mindset

“Service Design is a practice to create useful, usable, desirable, effective and distinctive services. These are developed through an iterative, user-centered and collaborative design process, focusing on the end user experience and taking multiple tangible and intangible touchpoints in consideration. Service Design aims to create value for both the business as well as the customer.”

Service Design: Beyond Products

- Almost certainly you are building a service, not a product.
- Services could be considered the new products.
- Products do not vanish but are embedded in an ecosystem. This service ecosystem encompasses all touchpoints with the user.



Product

A pre-produced, finished thin waiting on the shelf to be picked up by a consumer



Service

A pre-planned set of activities waiting to be shaped and executed in inter-action with a user.

User Centered Design

- **Specify the context of use**
 - Identify the personas who will use the product, what they will use it for, and under what conditions they will use it.
- **Specify requirements**
 - Identify any business requirements or user goals that must be met for the product to be successful.
- **Create design solutions**
 - This part of the process may be done in stages, building from a rough concept to a complete design.
- **Evaluate designs**
 - The most important part of this process is that evaluation - ideally through usability testing with actual users - is as integral as quality testing is to good software development.

Service Owner Leadership

Service Owner negotiates, agrees and documents appropriate service targets with representatives of the business, and then monitors and produces reports on the service provider's ability to deliver the agreed level of services.

5 Step Planning Guide

Service Planning Guide



1. Start with the S-I-P-O-C Chart

2. Identify your Feedback Loops

3. Draft the Inputs, Process, & Outputs (I-P-O)

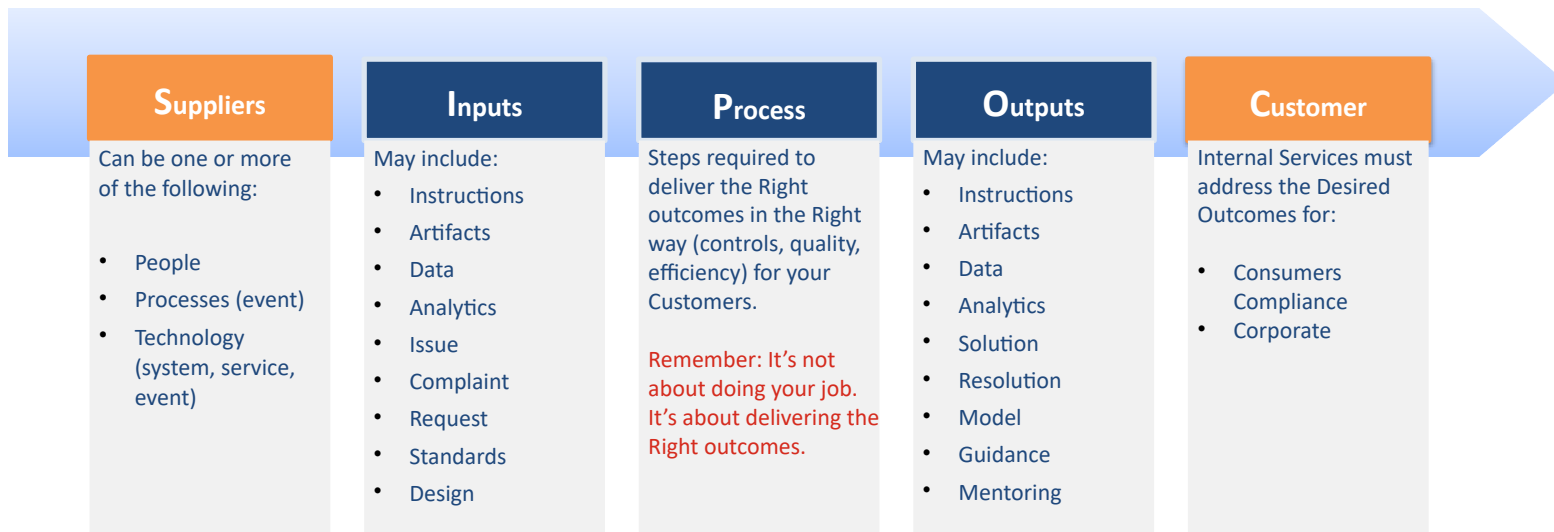
4. Clarify the 5 Key Measures

5. Set your Performance Objectives

Remember: Your Service is only successful when you help your customers get **THEIR** jobs done Right!

Step 1 - The SIPOC Diagram

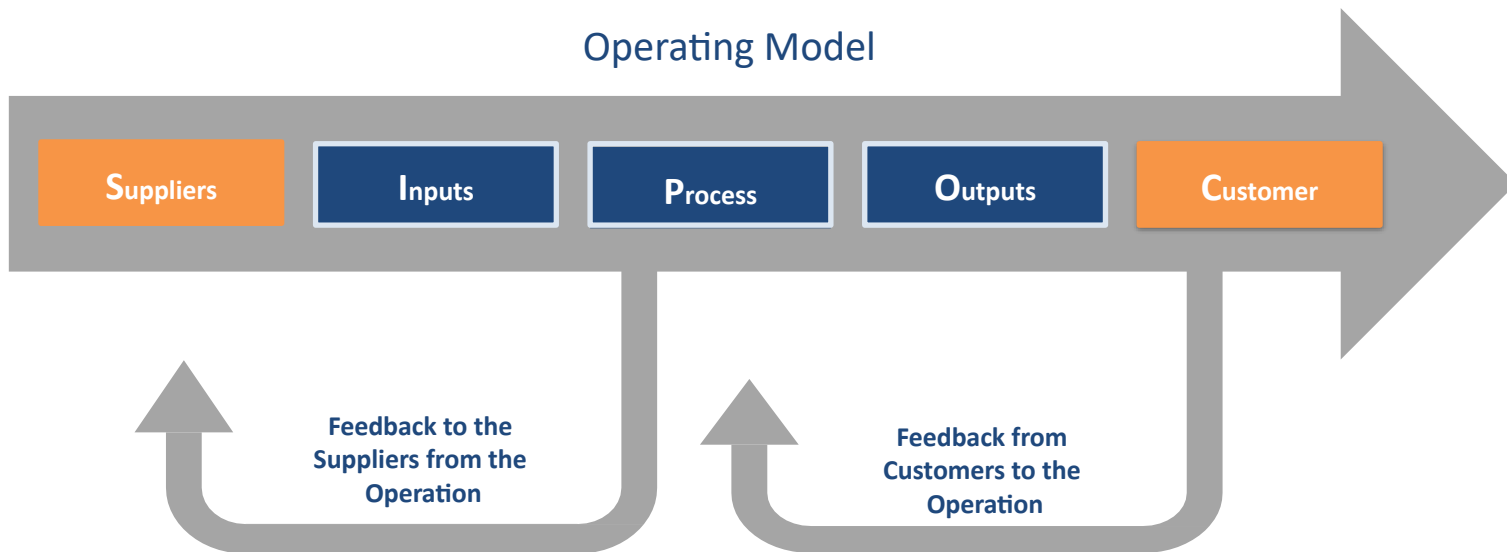
We can extend the IPO process to become a SIPOC diagram. So for each input we list its origins, and for each output its customer.



Delivering the Right Outcomes the Right Way

Step 2 — Identify Feedback Loops

Information from feedback loops are used to control the process, by adjusting the timing, quantity, quality or cost of input resources and optimizing the processes that are used to achieve desired outcomes.



Step 3 — Document the Inputs, Process Steps & Outputs

1

Review the SIPOC framework you have drawn and fill in the following information:

- Add the **name of the process (sub-service)**, and the name of the service owner **of the process (sub-service)**.
- Determine the scope of the process you are studying. Agree the process **starting point (trigger, process step, or event)**
- The process will also end somewhere. Agree the process **end point (trigger, process step or event)**
- Agree and list separately any known process **assumptions or constraints**.

Next step.....

Step 3 — Document the Inputs, Process Steps & Outputs

Now complete the SIPOC chart with the group.

2

- **Resist the urge to start on the left of your chart** with your suppliers.
- Instead, **start with the process first**. Use post-it notes to create a high-level list of steps, sticking to no more than 5-10 steps.
- List **the outputs of each step of the process**. List all of the key requirements of each output from the customer's view.

Outputs of the process **don't just include the product or service you are delivering**, and not all are desirable. They can include paperwork, approvals, scrap, and just about anything else you can think of that results from your process.
- **Now add the names of the customers** (if there are more than one). Do they have the same requirements? Think about where each output goes and that you know who the customer is for your process

Next step.....

Step 3 — Document the Inputs, Process Steps & Outputs

Complete the “Inputs” side of the SIPOC diagram:

3

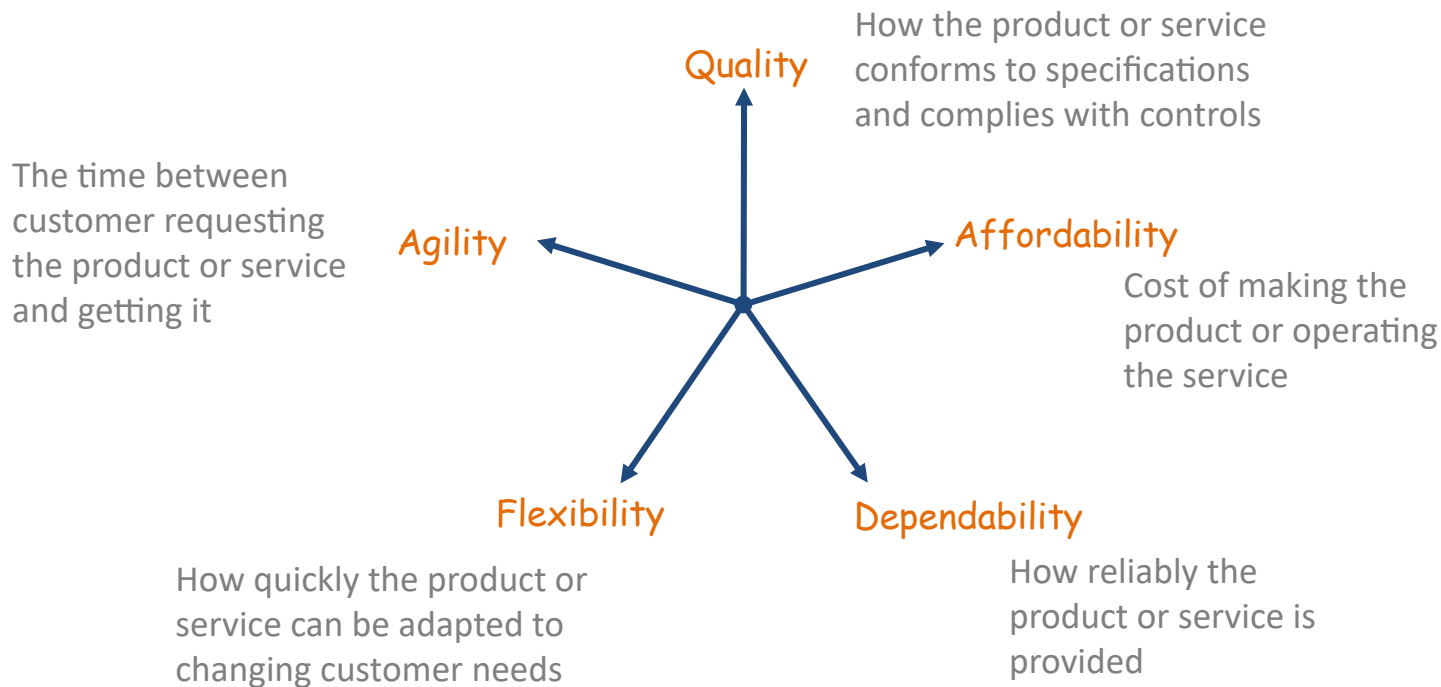
- List the **inputs into each step of the process**, and the **requirements** of each input (in your view – the person doing the work).

Review **each step of the process** to determine what is necessary to complete each one.

- Inputs can include **materials, people, machines, systems, information, or anything** else that is necessary for the process.
- Take some extra time with the inputs and write down everything you can think of.
- In this final step, list all of the **suppliers who provide your inputs**. These might include the company that supplies you, the team that performed previous steps, or an internal department that passes a product or customer to you.
- List the **suppliers** on the extreme left side of the chart.

Next step.....

Step 4 — Define the 5 Key Measures



Step 5 - Setting Performance Objectives

Start out with achievable goals and gradually raise the bar as you stabilize the new processes, technologies, and operating model across your “mini” supply chain.

Example ⇒

Service Level Expectations					
Service Provider (Policy Management)					
Service	Process	Expectations	ETC (Days)	Quality (# Defects)	Performance
Policy Definition Management	Define Policy Needs (Privacy, Security, Legal, Risk, sGDM) Define Persona Profiles & Needs (DT) Define Control Patterns	Policy needs documented and approved Policy control patterns documented Persona Profiles documented and X-Ref against Policy controls to assess impact	45	3	75% (2022 – Q1)
			30	3	75% (2022 – Q1)
			20	2	85% (2022 – Q3)